Dolph Research

EQUITY RESEARCH NOTE March 10, 2026

BLUE DOLPHIN ENERGY CO

Revenue	Net Income
$318M	-$8.6M
-19.8%	NM

Operating Margin	Free Cash Flow
-1.4%	-$16M
NM	NM

Executive Summary

BDCO — Current period: 2024-12-31 | Prior period: 2023-12-31

BDCO closes 2024-12-31 with $318M of revenue (-19.8% YoY) and -$8.6M of net income versus $31M in the prior period. The period ended with an operating margin of -1.4% and a net margin of -2.7%, which frames how much of the reported scale translated into retained profitability.
Operating cash flow reached -$16M versus $20M in the prior period, and after $46K of capital spending the business produced -$16M of free cash flow versus $20M in the prior period. Capital spending absorbed 0.0% of revenue, which helps frame how much internal cash flow remained available after reinvestment.

On the balance sheet, the current ratio of 0.70x is the clearest short-term solvency reference available for the reporting period used here. The quick ratio of 0.14x sits below the current ratio, indicating that inventory or other less-liquid current assets carry part of the coverage burden. That balance-sheet reading should still be weighed against weak cash generation when operating or free cash flow is negative.

Snapshot Scorecard

Metric	Current	Prior	Change
Revenue	$318M	$396M	-19.8%
Net Income	-$8.6M	$31M	NM
Operating Margin	-1.4%	9.2%	NM
Current Ratio	0.70x	0.89x	-21.2%
Free Cash Flow	-$16M	$20M	NM

Revenue
$318M

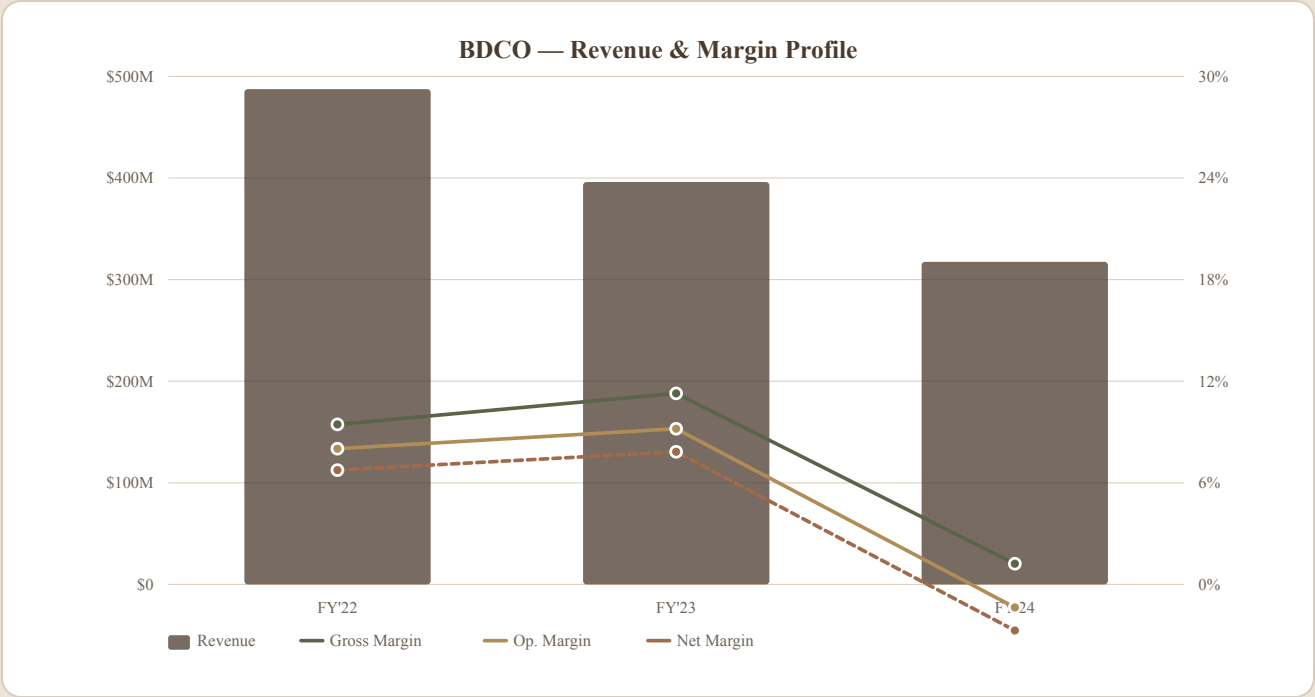
Net Income
-$8.6M

Operating Margin
-1.4%

Free Cash Flow
-$16M

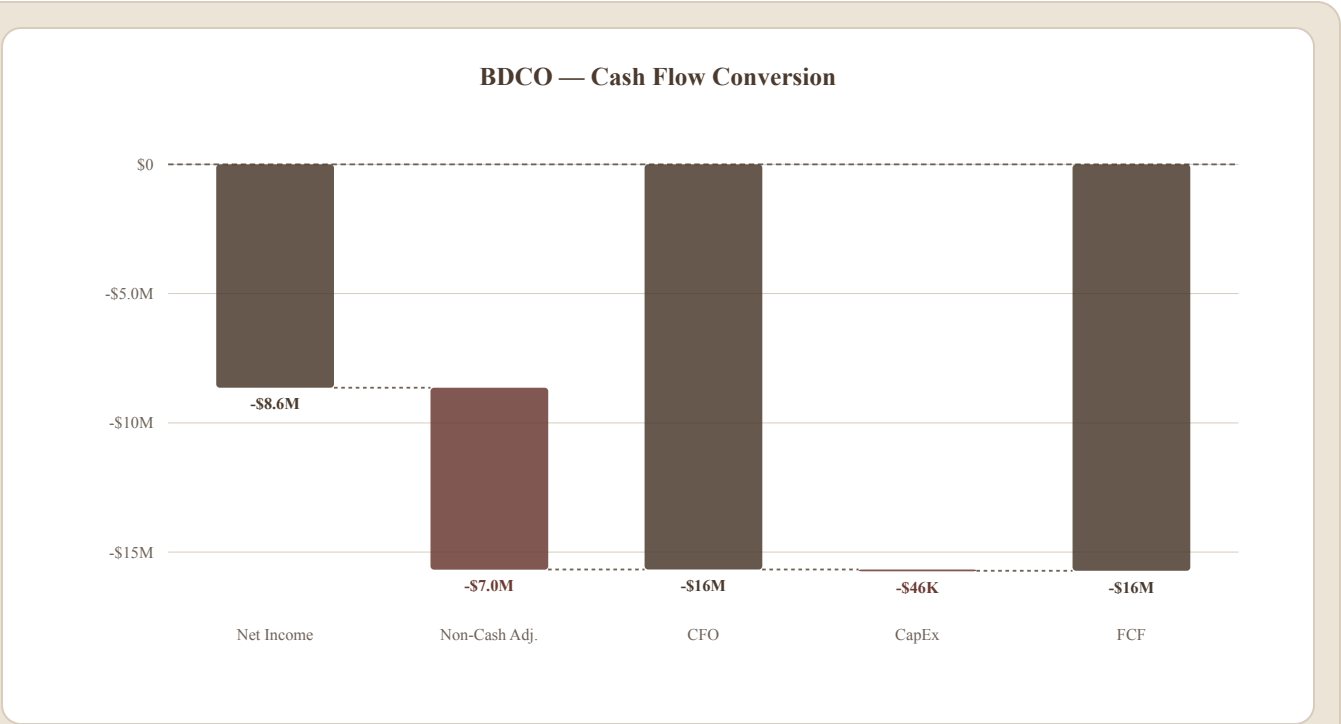
Visual Highlights

BDCO — Current period: 2024-12-31 | Prior period: 2023-12-31



Revenue Growth & Margin Profile

Revenue trend and margin structure across the most recent annual periods.



Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

Key Metrics Dashboard

BDCO — Current period: 2024-12-31 | Prior period: 2023-12-31

Profitability

Metric	Current Value	Prior Period	Change (%)
Gross Profit	$3.9M	$45M	-91.3%
Return on Equity	-23.2%	118.8%	NM
Return on Assets	-8.3%	32.6%	NM
Gross Margin	1.2%	11.3%	-89.1%
Operating Margin	-1.4%	9.2%	NM
Net Margin	-2.7%	7.8%	NM
Earnings Per Share (Diluted)	$-0.58	$2.08	NM

Liquidity & Leverage (1/2)

Metric	Current Value	Prior Period	Change (%)
Current Assets	$45M	$49M	-9.2%
Current Liabilities	$64M	$55M	15.3%
Cash & Equivalents	$81K	$19M	-99.6%
Cash, Cash Equivalents & Restricted Cash	$1.1M	$19M	-94.2%
Restricted Cash	$1.0M	$0	N/A
Cash, Cash Equivalents & Short-Term Investments	Not reported	Not reported	Not reported
Short-Term Investments	Not reported	Not reported	Not reported

Liquidity & Leverage (2/2)

Metric	Current Value	Prior Period	Change (%)
Marketable Securities	Not reported	Not reported	Not reported
Long-Term Debt	Not reported	Not reported	Not reported
Short-Term Debt	Not reported	Not reported	Not reported
Total Debt	Not reported	Not reported	Not reported
Current Ratio	0.70x	0.89x	-21.2%
Debt-to-Equity	Not reported	Not reported	Not reported

Key Metrics Dashboard (Cont.)

BDCO — Current period: 2024-12-31 | Prior period: 2023-12-31

Scale

Metric	Current Value	Prior Period	Change (%)
Revenue	$318M	$396M	-19.8%
Gross Profit	$3.9M	$45M	-91.3%
Operating Income	-$4.3M	$36M	NM
Net Income	-$8.6M	$31M	NM
Total Assets	$102M	$106M	-3.9%
Total Liabilities	$69M	$64M	6.9%
Stockholders' Equity	$33M	$42M	-20.8%

Cash Flow & Per Share

Metric	Current Value	Prior Period	Change (%)
Operating Cash Flow	-$16M	$20M	NM
Cash at End of Period (cash-flow statement)	$1.1M	$19M	-94.2%
Capital Expenditures	-$46K	-$102K	-54.9%
Free Cash Flow	-$16M	$20M	NM

Commentary

BDCO — Current period: 2024-12-31 | Prior period: 2023-12-31

What stands out

Across the annual periods shown here, revenue provides the clearest recurring pattern, with the latest value at $318M and a compound annual growth rate of -19.3%. The contraction is sustained and likely to pressure margins or capital allocation choices.

The decline is steep enough to suggest a material deterioration in the operating base. Cash generation remains the main point of pressure, with -$16M of operating cash flow and -$16M of free cash flow in the current period.

Watch items

The most important risks in the current numbers are concentrated in the areas where profitability, cash generation, or balance-sheet support are not moving together. Net margin is -2.7%, indicating a loss-making profile. Revenue declined 19.8% versus prior year.

Analyst interpretation

BDCO's profile does not reduce to a single standout strength or weakness; the more relevant question is how the income statement, cash flow statement, and balance sheet interact.

This note is anchored to the annual period ending 2024-12-31, with the prior period set at 2023-12-31. Metrics without the required statement support remain blank rather than estimated, so the analysis stays tied to the filing evidence rather than to gap-filled assumptions.

Appendix

BDCO — Current period: 2024-12-31 | Prior period: 2023-12-31

Appendix A — BDCO Income Statement

Metric	FY2024	FY2023
Revenue	$318M	$396M
Cost of Revenue	$314M	$354M
Gross Profit (reported/reconciled)	$3.9M	$45M
Operating Expenses	$322M	$360M
Operating Income	-$4.3M	$36M
Net Income	-$8.6M	$31M
EPS (Basic)	$-0.58	$2.08
EPS (Diluted)	$-0.58	$2.08
Weighted Avg Shares (Diluted)	Not reported	14.9M
Pretax Income	-$10M	$31M
Income Tax Expense	-$1.5M	-$485K

Appendix B — BDCO Balance Sheet

Metric	FY2024	FY2023
Shares Outstanding	14.9M	14.9M
Total Assets	$102M	$106M
Total Liabilities	$69M	$64M
Total Stockholders' Equity	$33M	$42M
Current Assets	$45M	$49M
Current Liabilities	$64M	$55M
Cash & Equivalents	$81K	$19M
Cash, Cash Equivalents & Restricted Cash	$1.1M	$19M
Restricted Cash	$1.0M	$0
Inventory	$36M	$25M
Accounts Receivable	$6.0M	$4.3M
Other Current Assets	$1.9M	$1.6M
Retained Earnings	-$6.9M	$1.7M

Appendix (Cont.)

BDCO — Current period: 2024-12-31 | Prior period: 2023-12-31

Appendix C — BDCO Cash Flow Statement

Metric	FY2024	FY2023
Operating Cash Flow	-$16M	$20M
Capital Expenditures	-$46K	-$102K
Investing Cash Flow	-$46K	-$102K
Financing Cash Flow	-$1.9M	-$2.7M
Depreciation & Amortization	$2.8M	$2.8M
Debt Repayment	-$5.2M	-$1.5M
Net Change in Cash	-$18M	$17M
Cash at End of Period (cash-flow statement)	$1.1M	$19M

Data Sources & Notes

Ticker	CIK	Accession	Form	Filed	Primary Document
BDCO	0000793306	0001437749-25-010478	10-K	2025-04-01	https://www.sec.gov/Archives/edgar/data/793306/000143774925010478/bdco20241231_10k.htm

Method Notes

- Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.
- Standalone metrics use the selected current and prior annual periods for the issuer.
- The narrative summarizes the filing-backed figures shown elsewhere in the report and does not alter the calculations.

Report date: 2026-03-10.

Disclaimer: For research use only; not investment advice.